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Industry Update

3Q26 preview: stable margins to underpin solid earnings

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Constructive 12-month view, but near-term risk-reward more balanced

The MSCI China Banks Index has delivered a 21% return YTD, outperforming the MSCI China Index by c.40%, supported by easing NIM pressure and improving visibility on earnings recovery. The sector's defensive characteristics and attractive dividend yields relative to the 10-year government bond yield have also supported investor demand. More recently, China banks have remained resilient amid the correction in AI-themed stocks, benefiting from a rotation toward defensive names.

We maintain a constructive view on China banks over a 12-month horizon, supported by accommodative domestic liquidity, reduced downside risk to NIM, improving earnings momentum and a gradual easing of asset-quality risks. **Near term**, however, we see a more balanced risk-reward following the sector's strong YTD performance and solid 3Q26 results. **Profit-taking could emerge if** (1) market appetite rotates back toward hardware and AI-related stocks; or (2) banks' dividend yield premium over the 10-year government bond yield, currently at 3.3ppt and broadly in line with its historical average, narrows further amid accelerated government bond issuance in 4Q26.

Within the sector, **we prefer H-share banks on a 12-month horizon**, given their higher dividend yields and more attractive valuations. **Near term, however, A-share banks could prove more resilient**, supported by potential "national team" buying and continued demand for high-dividend assets amid low deposit rates. Once broader market conditions stabilize, we expect H-share banks' valuation and yield advantages to reassert themselves, supporting renewed upside momentum.

Fundamentally, we expect large banks under our coverage to deliver solid 3Q26 results, with PPOP growth of c.10% YoY versus 12% in 2Q26, supported by broadly stable NIM, investment gains and partial realization of gains from bond portfolios. Provisioning should remain elevated as banks use resilient pre-provision earnings to strengthen allowance buffers and accelerate write-offs of legacy risky assets. Consequently, we forecast net profit growth to improve to 7% YoY in 3Q26 from 5% in 2Q26.

Key Changes

Company	Target Price	Rating
0939.HK	10.70 to 12.40	-
1288.HK	7.10 to 7.50	-
1398.HK	8.50 to 8.70	-
1658.HK	6.10 to 6.30	-
3328.HK	8.60 to 9.40	-
3968.HK	58.60 to 60.40	-
3988.HK	5.80 to 7.10	-
600036.SS	54.30 to 54.90	-
601288.SS	7.70 to 8.00	-
601328.SS	9.40 to 10.00	-
601398.SS	9.30 to 9.90	-
601939.SS	11.70 to 13.30	-
601988.SS	6.70 to 8.10	-

Source: Deutsche Bank

Top Picks

China Construction Bank (0939.HK),HKD9.92	Buy
ICBC (1398.HK),HKD7.61	Buy
ICBC (601398.SS),CNY8.56	Buy
China Construction Bank (601939.SS),CNY11.77	Buy

Source: Deutsche Bank

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NII growth improves on stable NIM

For banks under our coverage, we expect NII growth to improve to 11% YoY in 3Q26F from 10% in 2Q26, supported by broadly stable NIM QoQ, as loan yields have largely stabilized while the benefits from deposit repricing gradually moderate in 2H26. We expect BoCom and CMB to see modest NIM compression, translating into relatively softer NII growth versus peers, while BOC should benefit from more resilient margins given its greater overseas asset exposure. Looking ahead, we see reduced downside risk to NIM, given less room for further policy rate cuts and banks' increasing focus on pricing discipline and earnings quality rather than pursuing loan growth at the expense of margins.

Non-interest income supported by bond trading and equity investment gains

We expect net fee income to decline 2% YoY in 3Q26, narrowing from a 7% decline in 2Q26, reflecting a higher base and softer fund product sales, with mutual fund sales down 27% QoQ in 3Q26 amid weaker capital-market activity. Trading income should remain supportive, growing 15% YoY, driven by gains from lower bond yields, with the 10-year government bond yield falling 6bp to 1.68%, as well as partial realization of gains from bond portfolios. Potential gains related to banks' investments in CXMT following its A-share IPO could provide additional upside, although the timing and magnitude of any disposal and profit recognition remain uncertain.

Steady PPOP and stable asset quality

We expect revenue and PPOP to grow 9% and 10% YoY in 3Q26, respectively. Provisioning costs are likely to remain elevated, rising 18% YoY, as banks take advantage of steady PPOP growth to strengthen allowance buffers and accelerate write-offs of legacy risky assets. We expect overall asset quality to remain stable, with corporate credit quality improving while retail loans continue to see moderate deterioration, particularly in consumer finance and credit cards. As a result, we forecast banks under our coverage to deliver 7% YoY net profit growth in 3Q26.

Stock implications

We continue to expect large state-owned banks to outperform smaller banks, with ABC, BOC and CCB likely to lead peers in 3Q26 profit growth. ABC should benefit from a favorable base and NIM improvement on lower funding costs; BOC from resilient export-related activity and higher yields on its overseas assets; and CCB from relatively stable corporate loan yields and investment gains. In contrast, we expect CMB and PSBC to continue to lag, reflecting sustained asset-quality pressure in their retail loan books. **CCB-A/H and BOC-A/H are our top picks.**



China Banks - 3Q26 earnings preview snapshot

Figure 1: Banks' 3Q26 earnings preview

(RMB bn)	Sector	ICBC	CCB	ABC	BOC	PSBC	BOCOM	CMB
P&L								
Attributable profit	461	110.4	101.6	89.8	66.0	28.1	25.3	39.4
%YoY	7	8	7	10	10	3	5	1
%QoQ	17	27	22	26	(1)	9	16	2
Pre-provision profit (PPOP)	657	154.1	135.5	132.3	104.6	33.3	42.0	55.5
%YoY	10	9	12	12	9	8	8	7
%QoQ	(11)	(7)	(19)	(5)	(11)	(31)	(6)	(4)
Gross operating revenue	1,041	220.7	193.5	203.6	178.1	91.0	71.0	82.9
%YoY	9	9	11	12	9	6	7	6
%QoQ	(4)	(2)	(12)	(1)	(0)	(6)	(3)	(6)
Net interest income	802	178.7	158.7	163.1	123.4	75.0	46.9	56.5
%YoY	11	12	13	13	11	5	8	5
%QoQ	2	3	1	1	2	2	(0)	0
Non-interest income	238.5	42.0	34.8	40.5	54.7	16.0	24.1	26.4
%YoY	6	(0)	4	12	6	13	4	8
%QoQ	(20)	(18)	(44)	(7)	(5)	(31)	(7)	(18)
Net fee income	117.0	22.9	23.1	17.5	19.2	6.3	9.2	18.8
%YoY	(2)	(4)	(6)	(5)	2	2	3	1
%QoQ	(6)	(19)	(5)	5	(5)	(9)	(1)	(2)
Other non-interest income	121.6	19.1	11.7	23.0	35.5	9.7	14.9	7.6
%YoY	15	5	30	30	8	21	5	30
%QoQ	(29)	(17)	(69)	(15)	(6)	(40)	(11)	(41)
Total impairments	(130)	(27)	(18)	(36)	(23)	(3)	(13)	(10)
%YoY	18	20	28	21	2	110	21	10
%QoQ	(47)	(54)	(74)	(3)	(21)	(82)	(38)	(33)
Profitability & Ratios								
Return on equity (ROE) (%)	10.8	10.9	10.8	12.3	9.2	10.3	8.3	13.0
Delta YoY	(0.0)	0.3	0.0	0.4	0.2	(0.6)	(0.1)	(1.4)
Return on assets (ROA) (bp)	74	77	84	69	65	56	61	113
Delta YoY	(1)	(0)	0	1	1	(3)	(0)	(9)
Net interest margin (bp)	137	131	139	133	131	162	122	179
Delta YoY	3	3	7	4	2	(6)	4	(5)
Delta QoQ	0	1	(0)	1	2	(0)	(1)	(3)
Asset yield (bp)	257	248	256	252	263	260	268	276
Delta YoY	(18)	(16)	(14)	(17)	(23)	(25)	(13)	(21)
Delta QoQ	(1)	(0)	0	(1)	(2)	(3)	(3)	(3)
Cost of funds (bp)	124	123	122	123	139	101	152	102
Delta YoY	(21)	(22)	(20)	(20)	(24)	(15)	(20)	(20)
Delta QoQ	(2)	(1)	(1)	(3)	(4)	(1)	(1)	(2)
Cost-to-income (%)	36.9	30.2	30.0	35.0	41.3	63.4	40.8	33.0
Delta YoY	(0.4)	(0.1)	(0.8)	0.2	0.1	(0.7)	(0.5)	(0.7)
Effective tax rate (%)	12.1	13.6	13.5	7.0	14.0	6.3	12.0	15.2
Delta YoY	0.6	(0.3)	2.9	(0.2)	1.0	0.2	(1.6)	(0.1)
Balance Sheet								
Total assets	249,552	57,463	48,408	52,545	40,791	20,083	16,413	13,848
%YoY	8	9	7	9	9	8	6	10
%QoQ	2	1	2	3	2	1	1	0
Customer advances (gross)	143,606	32,391	29,635	29,151	25,016	10,390	9,540	7,482
%YoY	6.9	6.2	7.1	8.0	7.1	7.6	5.2	4.8
%QoQ	1.1	1.2	1.0	1.1	1.3	1.2	0.5	0.4
Customer deposits	170,844	39,565	32,009	34,289	26,960	17,561	10,015	10,445
%YoY	6.2	6.1	4.4	6.9	5.0	8.3	8.1	8.7
%QoQ	0.8	1.0	0.6	0.7	0.5	0.7	1.0	2.0
Loan-to-deposit (%)	81.6	79.6	89.7	81.9	90.7	58.0	92.8	69.0
Delta QoQ	0.1	0.0	0.4	0.2	0.7	0.3	(0.6)	(1.2)
Deposit / liabilities (%)	74.2	74.4	72.3	69.8	72.2	93.4	66.6	84.4
Delta QoQ	(0.5)	0.1	(0.9)	(1.6)	(0.4)	(0.3)	0.3	2.0
Core tier I capital (%)	12.58	13.55	14.20	10.92	12.37	10.35	11.57	14.07
Delta QoQ	0.20	0.34	(0.04)	0.12	0.34	0.31	0.32	0.00
Asset Quality								
Gross NPLs	1,777	420	383	363	308	105	126	72
Delta QoQ	2	2	1	1	2	2	2	2
Gross NPL ratio (bp)	124	130	129	125	123	101	132	96
Delta QoQ	1	1	0	(0)	1	1	2	2

Source : Deutsche Bank estimates

Figure 2: Summary of China bank valuations and ratings

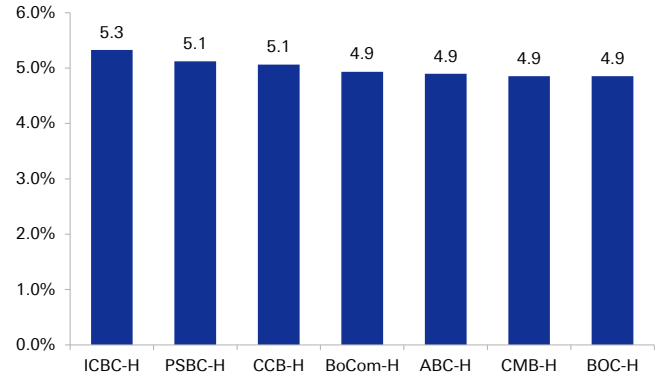
	Stock code	Current Price (LC)	Target Price	Up/down to TP(%)	DB Rating	Mkt cap (US$b)	P/E ratio (x)			P/B ratio (x)			Dividend yield (%)		
							25	26F	27F	25	26F	27F	25	26F	27F
H-shares															
ICBC	1398 HK	7.60	8.70	14	Buy	432.8	6.4	6.0	5.4	0.60	0.56	0.52	4.8	5.3	5.9
CCB	939 HK	10.00	12.40	24	Buy	343.9	6.5	6.3	5.6	0.64	0.60	0.56	4.6	5.1	5.6
ABC	1288 HK	6.73	7.50	11	Buy	380.8	7.3	6.7	6.0	0.72	0.67	0.62	4.4	4.9	5.4
BOC	3988 HK	6.06	7.10	17	Buy	315.9	7.0	6.8	6.2	0.62	0.58	0.54	4.4	4.9	5.3
BoCom	3328 HK	8.35	9.40	13	Buy	104.0	6.6	6.8	6.4	0.55	0.52	0.49	4.6	4.9	5.2
PSBC	1658 HK	5.52	6.30	14	Buy	98.3	6.5	6.7	6.2	0.56	0.53	0.50	4.7	5.1	5.3
CMB	3968 HK	52.60	60.40	15	Buy	163.8	7.8	7.5	7.2	1.03	0.92	0.85	4.5	4.9	5.1
A-shares															
ICBC	601398 CH	8.62	9.90	15	Buy	432.8	8.6	8.0	7.2	0.80	0.74	0.69	3.6	4.0	4.4
CCB	601939 CH	11.78	13.30	13	Buy	343.9	9.0	8.7	7.7	0.89	0.83	0.77	3.3	3.7	4.1
ABC	601288 CH	7.40	8.00	8	Hold	380.8	9.5	8.7	7.8	0.94	0.87	0.81	3.4	3.8	4.2
BOC	601988 CH	7.02	8.10	15	Buy	315.9	9.5	9.2	8.4	0.84	0.79	0.74	3.2	3.6	3.9
BoCom	601328 CH	8.34	10.00	20	Buy	104.0	7.7	8.0	7.5	0.64	0.61	0.58	3.9	4.2	4.4
PSBC	601658 CH	5.61	6.70	19	Buy	98.3	7.7	8.0	7.5	0.67	0.63	0.60	3.9	4.3	4.5
CMB	600036 CH	42.99	54.90	28	Buy	163.8	7.5	7.2	6.9	0.99	0.89	0.82	4.7	5.0	5.3
- BigFour						1,473.1	8.1	7.7	6.9	0.77	0.72	0.67	3.8	4.2	4.7
- Others						366.1	7.5	7.5	7.0	0.75	0.70	0.65	4.3	4.7	4.9
- DB covered						1,839.2	8.0	7.6	6.9	0.76	0.71	0.66	3.9	4.3	4.7

Source : Bloomberg Finance LP, Deutsche Bank estimates, share prices as of October 27, 2026

Prefer H-share banks for 12-month upside, despite near-term A-share resilience

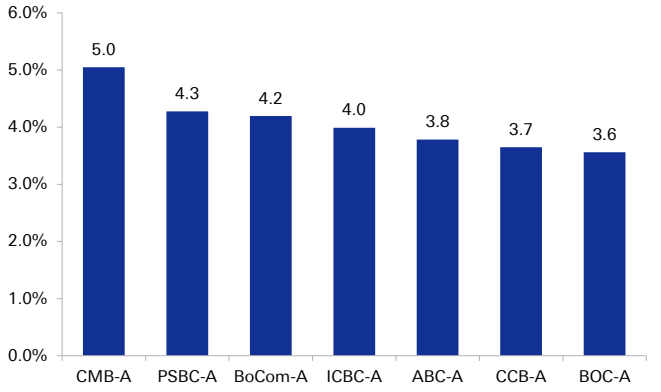
We prefer H-share banks on a 12-month horizon, given their higher dividend yields and more attractive valuations. That said, we expect A-share banks to be more resilient in the near term, as H-shares could face greater selling pressure from mainland southbound investors amid a broader market correction and from overseas investors amid heightened concerns over higher-for-longer US rates. Meanwhile, A-share banks could benefit from "national team" buying should domestic indices correct further. Once the A-share market stabilizes, we expect H-share banks to regain upside momentum, supported by their more attractive valuation and yield proposition.

3: Dividend yields - H-share banks



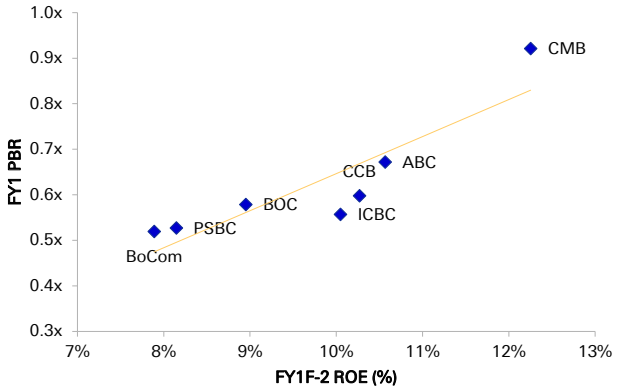
Source : Bloomberg Finance LP, Deutsche Bank estimates

Figure 4: Dividend yields - A-share banks



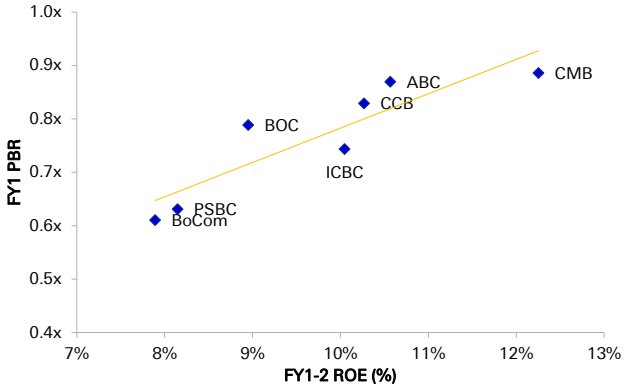
Source : Bloomberg Finance LP, Deutsche Bank estimates

Figure 5: H-share banks' PBR vs. ROE



Source : Bloomberg Finance LP, Deutsche Bank

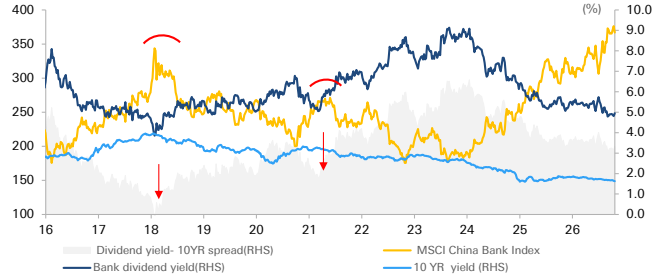
Figure 6: A-share banks' PBR vs. ROE



Source : Bloomberg Finance LP, Deutsche Bank

The CSI 300 Bank Index offers a 4.9% dividend yield, implying a 3.3ppt premium over China's 10-year government bond yield, broadly in line with its historical average and still attractive to domestic long-only investors. Near term, however, we see a more balanced risk-reward following strong YTD performance and expected solid 3Q26 results, with potential profit-taking if market appetite rotates back toward hardware and AI-related stocks or accelerated government bond issuance in 4Q26 pushes bond yields higher and compresses banks' dividend yield premium.

Figure 7: Bank dividend yield spread over 10Y government bond yield (3.3% vs. historical average)



Source : Bloomberg Finance LP, Deutsche Bank

Revision of earnings forecasts and target prices

We have fine-tuned our earnings forecasts for the seven banks under our coverage, resulting in a modest 3% increase in FY26 earnings and 6-8% upgrades for FY27-28. The revisions mainly reflect a more stable NIM outlook, resilient loan growth and improving asset-quality prospects.

First, we see reduced downside risk to NIM, given less room for further policy rate cuts and banks' increasing focus on pricing discipline and earnings quality rather than pursuing loan growth at the expense of margins. We therefore expect NIM to stabilize gradually through FY26-27, although the potential for further improvement will depend on a more sustained macroeconomic recovery and a pickup in credit demand.

Second, supportive monetary and fiscal policies should help large banks maintain 7-9% loan growth, particularly as accelerated government bond issuance and PSL support investment activity and, in turn, corporate credit demand. Retail credit conditions remain under pressure, with deterioration likely to linger until a more meaningful recovery in household confidence and further policy support emerge.

Third, we expect asset quality to remain broadly stable with improving visibility, as the debt-replacement program for local governments progresses, helping alleviate credit risks related to LGFVs and the property sector. That said, we expect banks to maintain relatively elevated provisioning, using resilient pre-provision earnings to accelerate write-offs of legacy risky assets and strengthen allowance buffers. As such, higher credit costs should primarily reflect proactive buffer building rather than a deterioration in underlying asset quality.

Overall, we expect banks' ROA to remain subdued at below 70bp, reflecting the still-soft macroeconomic backdrop. However, with NIM stabilizing and earnings growth recovering, we forecast ROE to improve from 9.7% in FY26 to 10.2% in FY28.

Figure 8: Revision of earnings forecasts for 2026-2028

Attributable profit (RMB b)	26F		27F		28F	
	New	% chg	New	% chg	New	% chg
ICBC	395	5	437	8	484	13
CCB	361	4	405	10	449	14
ABC	315	2	353	6	386	6
BOC	260	3	284	3	312	4
BoCom	100	0	107	1	115	1
PSBC	91	1	98	2	109	5
CMB	156	1	165	3	176	1
Sector	1,680	3	1,848	6	2,030	8
Pre-provision profit (PPOP) (RMB bn)						
RMB b	New	% chng	New	% chng	New	% chng
ICBC	620	8	687	13	744	13
CCB	582	9	640	11	700	11
ABC	519	9	571	11	612	11
BOC	438	5	479	6	521	6
BoCom	175	5	181	5	190	5
PSBC	150	5	167	9	183	9
CMB	226	1	236	1	252	1
Sector	2,710	7	2,962	9	3,202	9
Gross operating revenue						
RMB b	New	% chng	New	% chng	New	% chng
ICBC	876	6	956	10	1,026	10
CCB	819	6	888	8	961	10
ABC	811	6	884	7	944	7
BOC	713	4	773	6	831	6
BoCom	277	3	288	3	302	2
PSBC	378	1	405	3	435	3
CMB	348	1	365	1	391	(0)
Sector	4,222	5	4,559	7	4,891	7
Net interest income						
RMB b	New	% chng	New	% chng	New	% chng
ICBC	704	8	773	14	835	14
CCB	632	8	681	8	744	11
ABC	642	6	707	8	759	7
BOC	483	7	530	9	581	10
BoCom	188	6	194	5	205	4
PSBC	297	1	319	3	343	3
CMB	227	2	238	2	256	0
Sector	3,172	6	3,443	8	3,724	9
Net fee income						
RMB b	New	% chng	New	% chng	New	% chng
ICBC	111	(2)	114	(2)	118	(2)
CCB	108	(6)	126	3	130	2
ABC	82	(11)	86	(11)	89	(11)
BOC	86	(2)	89	(4)	92	(5)
BoCom	39	(3)	40	(4)	42	(5)
PSBC	32	0	33	(0)	35	(0)
CMB	78	0	81	0	86	0
Sector	536	(4)	569	(2)	593	(3)

Source : Deutsche Bank estimates

Figure 9: Revision of earnings forecasts for 2026-2028 (continued)

Trading income						
	26F		27F		28F	
RMB b	New	% chng	New	% chng	New	% chng
ICBC	62	(1)	68	(1)	73	(1)
CCB	78	17	82	15	86	13
ABC	88	27	91	26	96	24
BOC	145	1	154	1	158	1
BoCom	50	0	53	0	56	0
PSBC	49	3	53	5	56	6
CMB	43	(3)	46	(3)	49	(3)
Sector	515	6	547	6	574	6
Operating expenses						
RMB b	New	% chng	New	% chng	New	% chng
ICBC	256	3	269	4	282	5
CCB	237	1	248	1	260	1
ABC	293	1	313	2	333	2
BOC	275	3	294	5	310	5
BoCom	102	0	107	0	113	0
PSBC	228	(1)	238	(0)	251	(0)
CMB	122	1	129	1	139	1
Sector	1,512	1	1,597	2	1,688	2
Total P&L impairment loss						
RMB b	New	% chng	New	% chng	New	% chng
ICBC	167	13	187	25	197	12
CCB	167	11	184	13	192	10
ABC	162	22	174	23	177	17
BOC	113	9	130	16	138	16
BoCom	62	7	64	11	64	5
PSBC	49	20	57	24	61	16
CMB	45	3	45	(2)	47	(5)
Sector	765	13	841	17	877	12

Credit cost per loan (bp)						
	26F		27F		28F	
bp	New	% chng	New	% chng	New	% chng
ICBC	53	7	55	11	54	6
CCB	59	7	60	7	59	6
ABC	(57)	(10)	(58)	(10)	(56)	(8)
BOC	(47)	(4)	(51)	(8)	(50)	(8)
BoCom	64	5	62	7	59	4
PSBC	50	10	52	10	52	7
CMB	64	2	62	0	62	0
Sector	55	6	57	8	55	6

Source : Deutsche Bank estimates

Revision of price targets and valuations

Following our earnings forecast upgrades and improving margin outlook, we raise our A/H-share target prices for China banks by 9% on average and by up to 22%, as **improving earnings quality and gradual easing of asset-quality risks should support further sector rerating over our 12-month investment horizon**. That said, the recent share-price rally has brought valuations closer to our previous target prices, resulting in more balanced near-term risk-reward.

Figure 10: A summary of our target price, valuation and rating revisions

	Price Target (LC)			DB Rating			PBR (x)			BPS (RMB)			Implied ROE (%)		
	New	Old	Delta (%)	New	Old	Change	New	Old	Delta (%)	New	Old	Delta (%)	New	Old	Delta (%)
H-shares															
ICBC	8.70	8.50	2	Buy	Buy		0.68	0.68	(0)	11.59	11.55	0.4	8.2	8.2	(0)
CCB	12.40	10.70	16	Buy	Buy		0.80	0.70	13	14.21	14.15	0.4	9.2	8.4	10
ABC	7.50	7.10	6	Buy	Buy		0.80	0.77	4	8.51	8.49	0.2	9.6	9.3	3
BOC	7.10	5.80	22	Buy	Buy		0.73	0.60	21	8.90	8.88	0.2	8.8	7.7	15
BoCom	9.40	8.60	9	Buy	Buy		0.62	0.59	6	13.66	13.65	0.0	8.0	7.7	5
PSBC	6.30	6.10	3	Buy	Buy		0.64	0.64	1	8.89	8.89	0.1	8.4	8.4	1
CMB	60.40	58.60	3	Buy	Buy		1.13	1.12	1	48.53	48.41	0.2	12.3	12.2	1
A-shares															
ICBC	9.90	9.30	6	Buy	Buy		0.85	0.81	6	11.59	11.55	0.4	9.8	9.3	5
CCB	13.30	11.70	14	Buy	Buy		0.94	0.83	13	14.21	14.15	0.4	10.5	9.5	10
ABC	8.00	7.70	4	Hold	Hold		0.95	0.91	4	8.51	8.49	0.2	10.9	10.6	3
BOC	8.10	6.70	21	Buy	Buy		0.91	0.75	21	8.90	8.88	0.2	10.5	9.1	16
BoCom	10.00	9.40	6	Buy	Buy		0.73	0.69	6	13.66	13.65	0.0	9.1	8.7	5
PSBC	6.70	6.70		Buy	Buy		0.76	0.75	1	8.89	8.89	0.1	9.6	9.5	1
CMB	54.90	54.30	1	Buy	Buy		1.13	1.12	1	48.53	48.41	0.2	12.3	12.2	1

Source : Deutsche Bank estimates

Figure 11: Revision to scenario-based GGM valuations

Revision to base-case scenario								
	New				OLD			
	ROE	COE	PBR(x)	Weight(%)	ROE	COE	PBR(x)	Weight(%)
ICBC	10.5	11.1	0.9	60	10.1	11.1	0.9	60.0
CCB	10.9	11.1	0.9	60	**10.1**	11.1	0.9	60.0
ABC	11.5	11.4	1.0	60	11.3	11.4	1.0	60.0
BOC	10.7	11.4	0.9	60	9.7	11.4	0.8	60.0
BoCom	9.8	11.7	0.8	60	9.0	11.7	0.7	60.0
PSBC	10.3	12.0	0.8	60	10.4	12.0	0.8	60.0
CMB	12.9	11.1	1.2	60	12.9	11.1	1.2	60.0
Revision to bear-case scenario								
	New				OLD			
	ROE	COE	PBR	Weight	ROE	COE	PBR	Weight
ICBC	4.7	13.5	0.2	20	3.7	13.5	0.14	20
CCB	4.7	13.5	0.2	20	3.7	13.5	0.14	20
ABC	6.0	13.9	0.3	20	5.6	13.9	0.30	20
BOC	6.0	13.9	0.3	20	4.0	13.9	0.20	20
BoCom	3.6	13.9	0.1	20	4.2	13.9	0.19	20
PSBC	4.9	13.9	0.2	20	4.1	13.9	0.18	20
CMB	5.2	13.2	0.3	20	5.0	13.2	0.27	20
Revision to bull-case scenario								
	New				OLD			
	ROE	COE	PBR	Weight	ROE	COE	PBR	Weight
ICBC	11.6	9.8	1.2	20	11.3	9.8	1.20	20
CCB	13.5	9.8	1.5	20	12.6	9.8	1.36	20
ABC	13.0	10.1	1.4	20	12.3	10.1	1.28	20
BOC	13.9	10.1	1.5	20	11.0	10.1	1.12	20
BoCom	11.0	10.1	1.1	20	11.0	10.1	1.11	20
PSBC	11.2	10.7	1.1	20	11.1	10.7	1.05	20
CMB	15.8	9.8	1.8	20	15.6	9.8	1.75	20

Source : Deutsche Bank estimates

Investment risks

Upside risks for the banking sector include: (1) persistently low but stabilizing domestic interest rates, supporting the attractiveness of bank dividend yields to domestic investors; (2) a moderate recovery in asset yields, driven by improving credit demand; (3) a recovery in household balance sheets and consumer confidence, supporting retail credit demand and asset quality; and (4) easing overseas inflationary pressure, allowing for moderate US rate cuts while global



growth remains resilient.

Downside risks include: (1) intensified competition, (2) a sharp deterioration in macroeconomic growth, (3) a meltdown in the capital market or property market, (4) key-man risks due to reshuffling of senior management or employees, and (5) tighter regulations for banks.

Company-specific risks

ABC-H

Key downside risks: factors leading to slower economic growth in county areas and a deterioration in asset quality.

ABC-A

Key upside risks: (1) better-than-expected rural regional economic recovery, and (2) a more relaxed policy on the RRR, liquidity management.

Key downside risks: (1) factors leading to slower economic growth in county areas and (2) a deterioration in asset quality.

BOC

Key downside risks: (1) a slowdown of China's domestic economy, (2) an accelerated rate cut in the US, and (3) a deterioration in the property market in Hong Kong or mainland China.

BoCOM

Key downside risks: (1) a slowdown of China's economy, especially in the Yangtze River Delta region, (2) a deterioration in asset quality, and (3) weaker wealth management sales.

CCB

Key downside risks: (1) a slowdown of China's economy, (2) a deterioration in the ability of households to repay mortgages, (2) a deterioration in inclusive finance asset quality due to weaker economic growth, and (3) weaker-than-expected fiscal stimulus.

CMB

Key downside risks: (1) a slowdown of China's economy, (2) a sharp deterioration in the credit card and lending businesses, and (3) weaker wealth management demand and investment returns.

ICBC

Key downside risks: (1) a slowdown of China's economy, (2) a deterioration in asset quality, and (3) weaker wealth management demand and investment returns.

PSBC

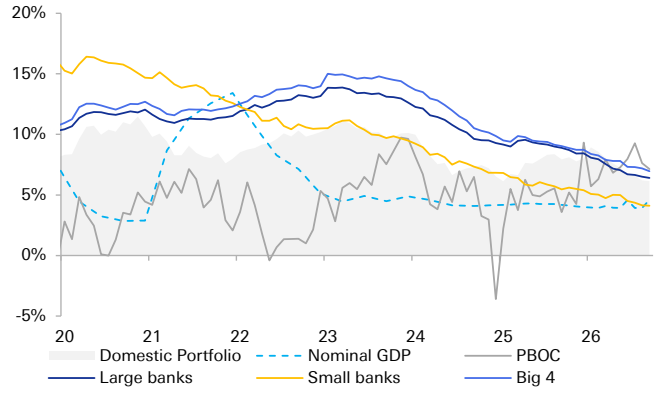
Key downside risks: (1) factors leading to slower economic growth in county areas,



(2) a deterioration in asset quality, and (3) an upward adjustment of the agency fee rate by Postal Group.

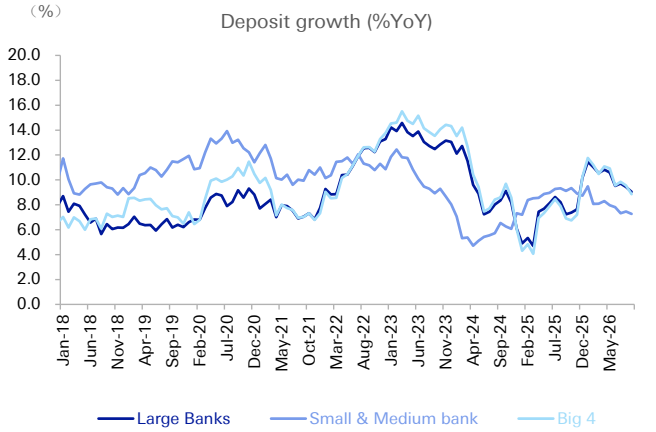
Key operating trends for the banking system

Figure 12: Loan growth rate decelerates...



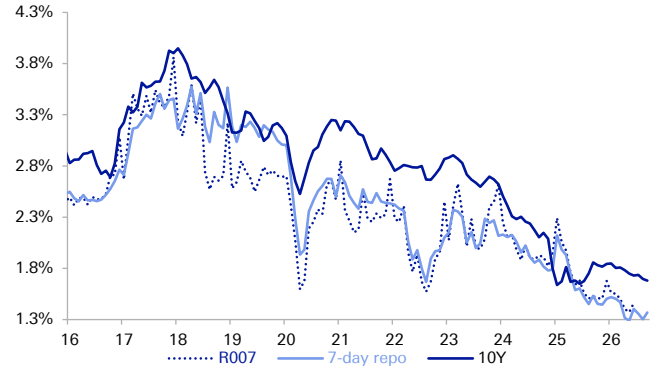
Source : PBOC, CEIC, Deutsche Bank

Figure 13: Deposit growth remains robust



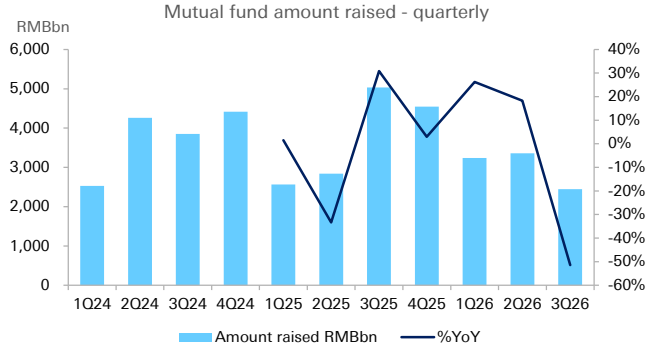
Source : PBOC, CEIC, Deutsche Bank

Figure 14: Key interbank rates continue to trend lower...



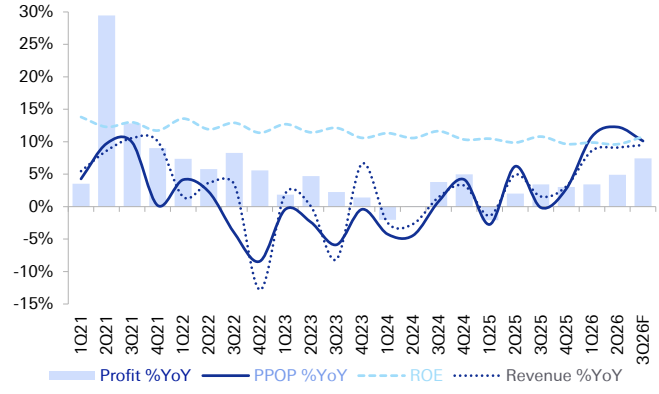
Source : PBOC, CEIC, Deutsche Bank

Figure 15: Mutual fund fundraising fell 27% QoQ and 51% YoY in 3Q26



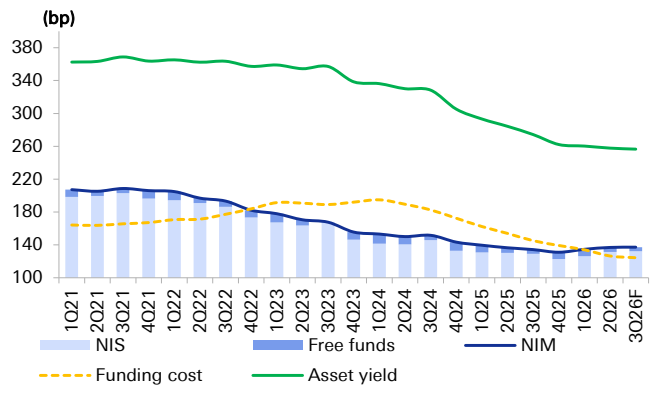
Source : Wind, Deutsche Bank

Figure 16: Attributable profit for our coverage universe



Source : Company data, Deutsche Bank estimates

Figure 17: NIM across our coverage universe trending toward stabilization

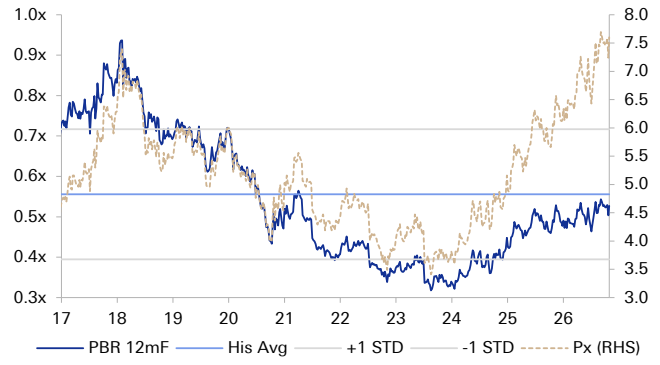


Source : Company data, Deutsche Bank estimates

Valuation band

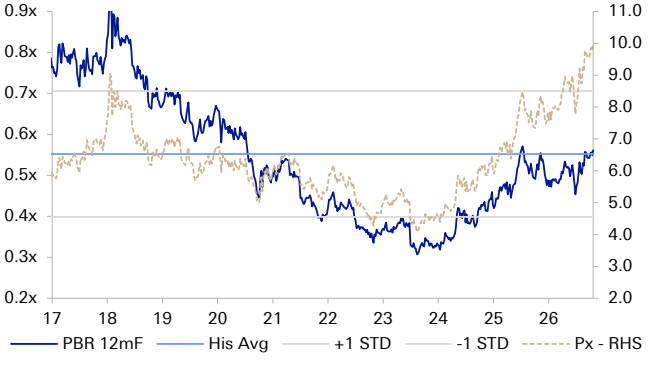
H-share bank valuation bands - 12-month forward price-to-book ratio (PBR)

Figure 18: ICBC – PBR band



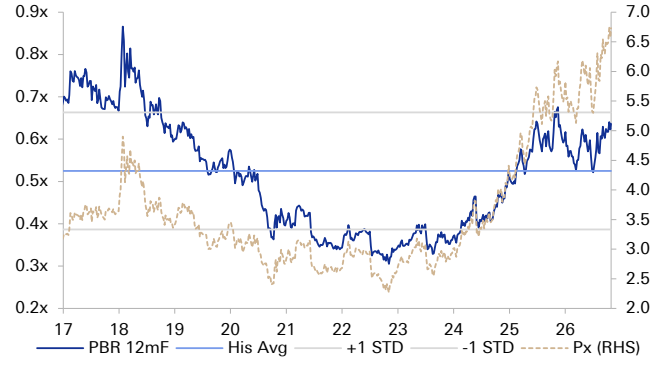
Source : Bloomberg Finance LP, Deutsche Bank

Figure 19: CCB – PBR band



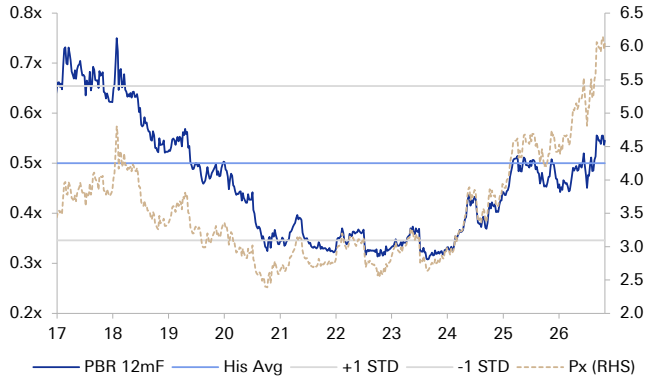
Source : Bloomberg Finance LP, Deutsche Bank

Figure 20: ABC – PBR band



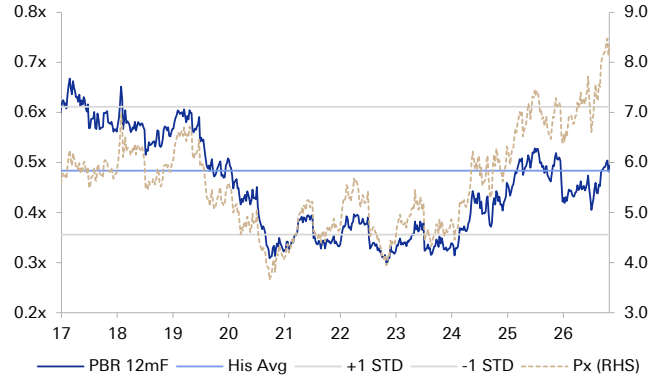
Source : Bloomberg Finance LP, Deutsche Bank

Figure 21: BOC – PBR band



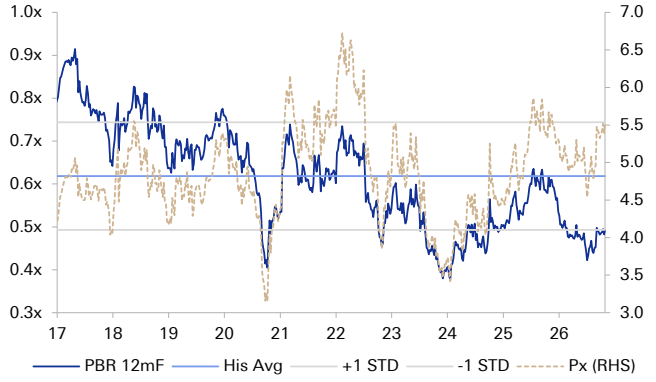
Source : Bloomberg Finance LP, Deutsche Bank

Figure 22: BoCOM – PBR band



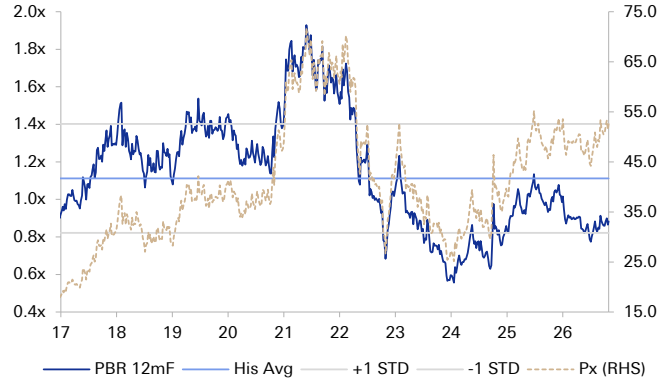
Source : Bloomberg Finance LP, Deutsche Bank

Figure 23: PSBC – PBR band



Source : Bloomberg Finance LP, Deutsche Bank

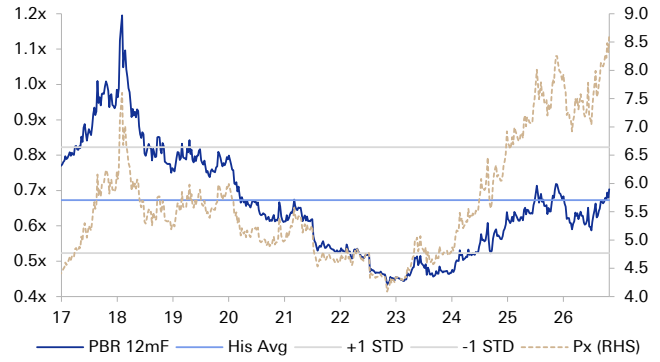
Figure 24: CMB – PBR band



Source : Bloomberg Finance LP, Deutsche Bank

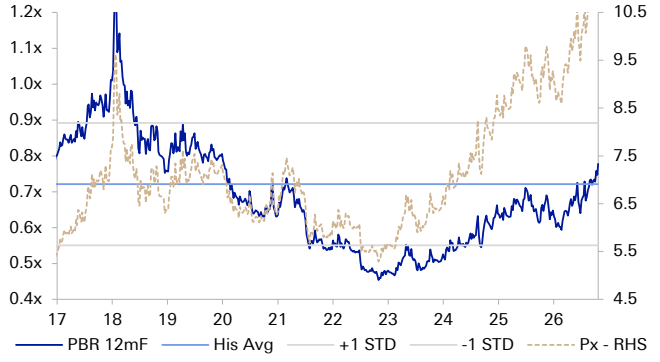
A-share bank valuation bands - 12-month forward price-to-book ratio (PBR)

Figure 25: ICBC – PBR band



Source : Bloomberg Finance LP, Deutsche Bank

Figure 26: CCB – PBR band



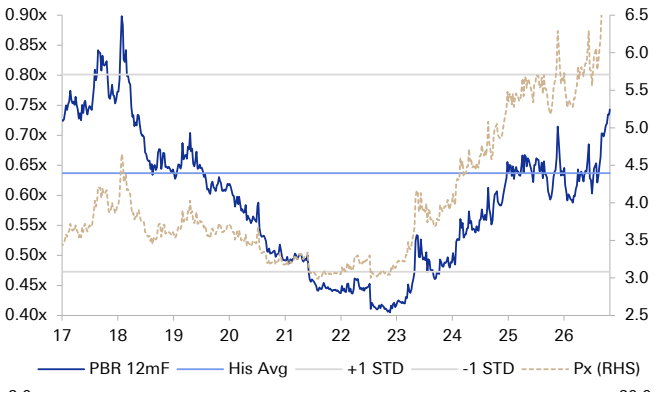
Source : Bloomberg Finance LP, Deutsche Bank

Figure 27: ABC – PBR band



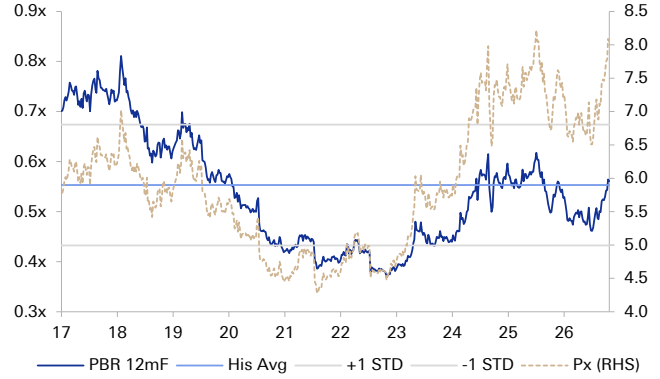
Source : Bloomberg Finance LP, Deutsche Bank

Figure 28: BOC – PBR band



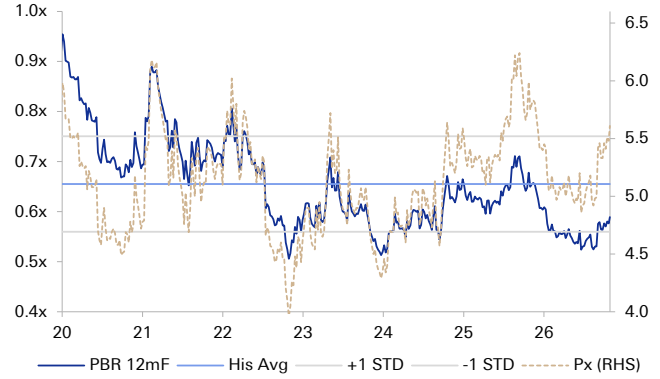
Source : Bloomberg Finance LP, Deutsche Bank

Figure 29: BoCOM – PBR band



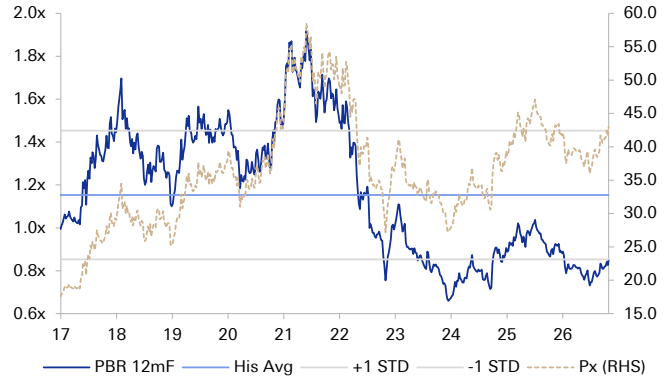
Source : Bloomberg Finance LP, Deutsche Bank

Figure 30: PSBC – PBR band



Source : Bloomberg Finance LP, Deutsche Bank

Figure 31: CMB – PBR band



Source : Bloomberg Finance LP, Deutsche Bank

Appendix 1

Important Disclosures

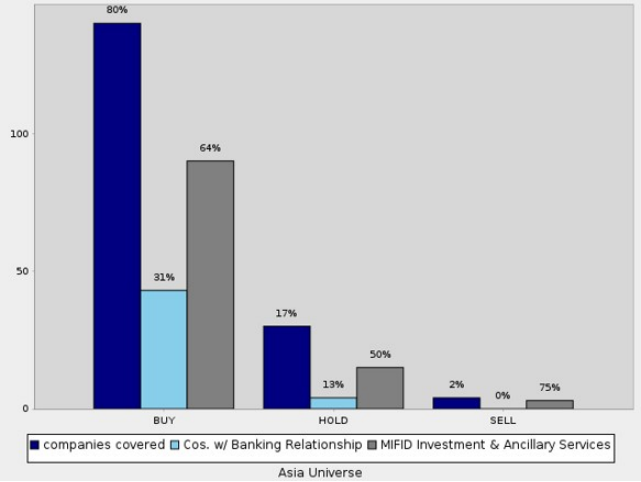
*Other information available upon request

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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the “Cos. w/ MIFID Investment and Ancillary Services” bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold) recommendations where Deutsche Bank and or/Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the “Cos. w/ Investment Banking relationship” bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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